November 14, 2026

The Editors
Structural Change and Economic Dynamics

Dear Editors,

I am pleased to submit my manuscript entitled "Anatomy of a Smooth Transition: A Task-Based Macroeconomic Model of AGI Displacement with Fiscal and Social Safety Nets" for consideration for publication in *Structural Change and Economic Dynamics*.

The paper studies the labor transition under artificial general intelligence (AGI) in a task-based macroeconomic model with an endogenously collapsing reinstatement engine, nominal rigidity and the zero lower bound, a fiscal closure, and a social-instability channel that is independent by construction. Under full substitution, the direct automation flow persistently exceeds the labor capture of new tasks, so the market employment share falls monotonically to zero and a high market-employment endpoint does not exist; that branch is reported as a counterfactual rather than a reachable steady state. Once public employment is set to absorb the entire unemployed population, the global outcome is a two-basin bifurcation between an economic crash and a smooth transition to full public-employment absorption, and a bisection locates the critical frontier growth that separates them.

The work fits the journal's scope directly. It is a study of technology-driven structural change analyzed through nonlinear dynamics, including a piecewise-smooth boundary equilibrium bifurcation and geometric singular perturbation theory, rather than a single comparative-static equilibrium. The task boundary between humans and AGI takes the place of the sector boundary in the structural-change tradition, and the fiscal and social safety nets are closed explicitly.

This manuscript is original, is the sole work of the named author, has not been published previously, and is not under consideration elsewhere. There is no conflict of interest. The simulation and analysis code is provided with the submission and every numerical result in the paper is produced by a named, re-runnable script. A separate online appendix documents the external empirical anchoring and the extended robustness checks.

I would be glad to provide any further information you may require.

Sincerely,

DUAN Fang
Corresponding author
College of Information Science and Engineering, Huaqiao University, Xiamen, China
duan.fang@hqu.edu.cn